

E

VER SINCE PRAMOD KUMAR took charge of operations at Adani Wilmar's (AWL) newly built manufacturing facility at Hazira, Gujarat in 2019, he has never been happier. The 45-year-old engineer has been devoted to the company's edible oil derivatives operations for well over a decade, but the fully-automated edible oil manu-

facturing plant on the outskirts of Surat gives him an immense sense of satisfaction. With a refining capacity of 2,500 tonnes a day, the plant is already one of the largest for the edible oil giant. But what keeps a seasoned professional like Kumar expectant is its future prospects.

The plant's half a dozen storage containers, standing side-by-side, 50-60-ft tall inside the campus, are being fed by dozens of oil tankers that relentlessly ferry raw edible oil from ships docked at the nearby Hazira sea port. While supply disruptions are not an issue, the quality of supply containers—which at times carry even fossil fuels—leaves Kumar concerned over the quality of third-party logistics support.

That, however, is a temporary glitch. A 14-km pipeline is being constructed that, once completed, will directly connect the plant's storage containers with the shipping containers on-board vessels at the sea port. That would not only remove any chances of contamination from third-party oil tankers, it would also significantly cut

down the cost of logistics and the time taken to empty a vessel after docking. "Much like fossil fuel, we are highly dependent on imports for crude edible oil. Thus, the more efficient the raw material supply chain is, the better it is for the refineries and the business," explains Sanjay Sharma, Assistant General Manager-HR at the Hazira facility and, like Kumar, an AWL veteran for over two decades. For perspective, India imports nearly 65 per cent of its crude edible oil each year.

The expertise of people like Kumar and Sharma helps run the near human-less facility smoothly, but intricate planning at the group level is key to AWL's success in the country's vast edible oil market, in which it is the largest edible oil importer and refiner. AWL also nurtures the largest edible oil portfolio—spanning sunflower oil, soybean oil, mustard oil, palm oil, cotton-seed oil and rice bran oil, carried by its very popular Fortune brand. India's overall edible oil market, worth ₹3 lakh crore, is dotted with unorganised players. The organised segment, worth ₹1.8 lakh crore, is in turn dominated by AWL, with a share of 18.9 per cent. Other big players include Ruchi Soya (8 per cent share), Emami (6 per cent share), and Cargill (4 per cent share).

AWL successfully listed on the Indian bourses on February 8, 2022. But the stock markets started buzzing even as it filed its DRHP with Sebi on August 2, 2021. Comparisons began to float with the leaders of the FMCG industry. And why not? AWL's FY21 revenues of ₹37,090 crore places it second in the FMCG sweepstakes

82 |



ADANI WILMAR, PART OF THE GAUTAM ADANI-LED ADANI GROUP, IS SECOND TO HUL BY REVENUES AMONG FMCG FIRMS